

LUMP SUM INVESTMENTS

When we have a lump-sum amount to invest, we have to deal with the impact of valuations. It is a tricky bit and most individuals cannot get this right. Again, we try and deal with the same systematically. The way to do this is as follows:

PORTFOLIO MANAGEMENT SERVICE

SEBI gives PMS license to companies that can manage our lump-sum investments based on our specific needs. They will charge a fee or a share in profit in exchange for their services. In a mutual fund, our money is invested based on the fund's mandate, irrespective of our needs. When investing in a mutual fund, we need to decide 'when' to give money. However, PMS will invest specifically for us. They will understand our needs and create a customized portfolio after looking at the current market. They will manage valuations better and not lose money as their incentives are also tied to the returns. PMS lacks regulation in comparison to mutual funds. Hence, PMS can churn out equally good or bad performances.

PMS data is submitted each month on the SEBI website. A simple Google search, 'PMS Data SEBI website' will take us to the website. Here, we need to take a look at different PMS companies and their data. We will generally avoid investing in companies with less than Rs. 100 crore under management. We will then go through their website, schedule a meeting with them and repeat this process with a few PMSes. Then, we will select the one that suits us the most and whose ideology matches ours. We will use the same guidelines as a mutual fund but leave out the AUM size. PMS size is generally much smaller than a mutual fund.

